

Tax considerations may be an important element in fixed-income asset allocation when bonds are held in a taxable account. Accordingly, tax-free municipal bonds may be appropriate when you are investing a personal account, joint account, or trust account. There is a discussion in this chapter about tax-free bond investing for investors who are in a high-tax situation.

The goal of this chapter is threefold: first, to help you appreciate the wide range of fixed-income categories that are available for investment; second, to demonstrate how fixed-income investments can work with other investments to reduce overall portfolio risk and increase long-term return; and third, to identify unique fixed-income categories that might be appropriate for your portfolio.

BOND MARKET STRUCTURE

The global bond market is as broad as it is deep. Investors have as much diversification potential on the fixed-income side of their portfolio as they do on the equity side. The range of bond opportunities stretches from governments to corporate to mortgages to foreign markets.

Index providers categorize bonds by different types and risk grades. The following is an example of how the bond market is generally segmented and categorized:

1. Federal, state, and local governments

- U.S. government backed

- Treasury-issued securities (bills, notes, bonds)

- Government agency issues

 - insured by the Federal Deposit Insurance Corporation (FDIC)

 - Certificates of deposit

- State and local government municipal bonds

 - General obligation backed by taxes

 - Revenue bonds backed by income other than taxes

 - Build America bonds (interest is subject to federal income tax)

2. Corporate fixed income

- Corporate bonds

 - Investment-grade corporate (rated BBB to AAA)

 - Non-investment-grade corporate (rated BB and lower)